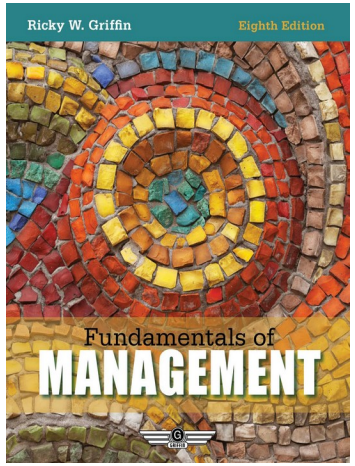
Industrial Management

IPE 4102

Books

Stevenson, William J. "Operations management 12th edition”." (2015): 385.

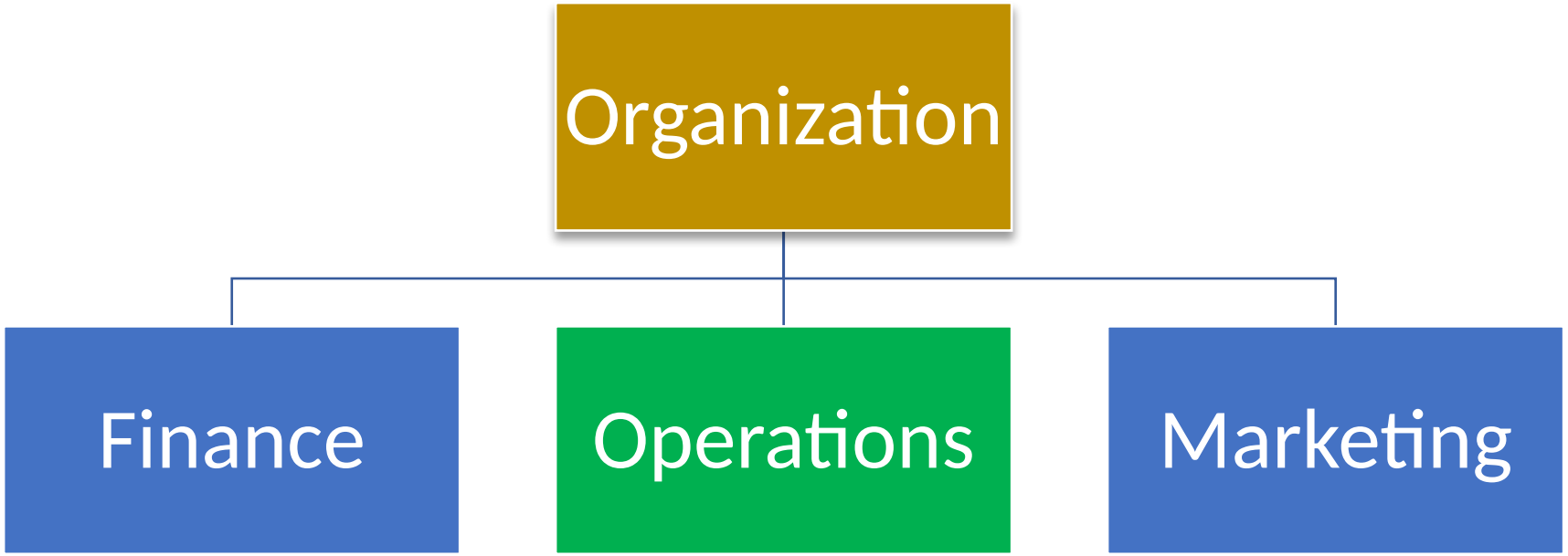


Griffin, Ricky W. Fundamentals of management. Cengage Learning, 2013.

Learning Objectives

- Operation Management and Supply Chain
- Function of Operations
- Production and Service Operations
- Decision Making
- Functional Areas of Organization
- Current Issues
- Aspects of Process Management
- Supply Chain Management

Functions of Organizations



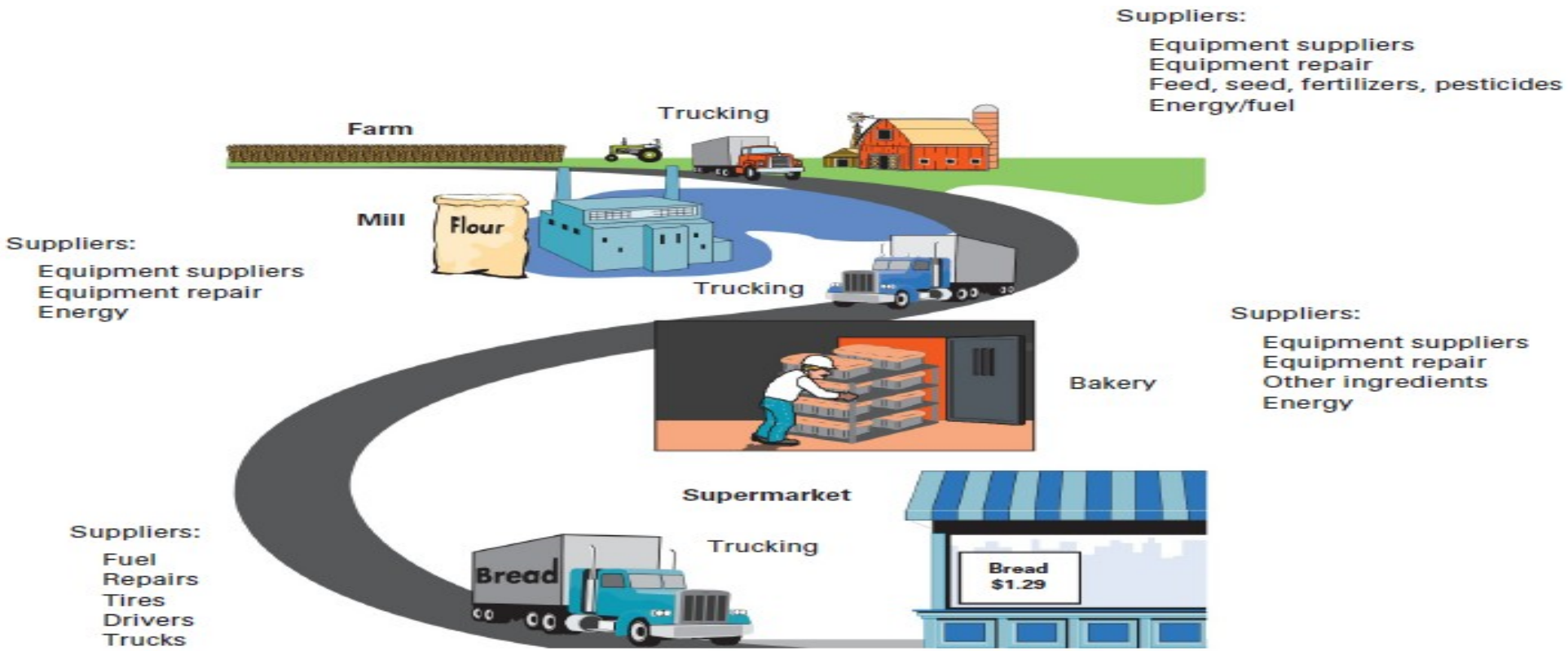
What Is Operations Management?

Operations management (OM) is the set of activities that creates value in the form of **goods** and **services** by transforming inputs into outputs

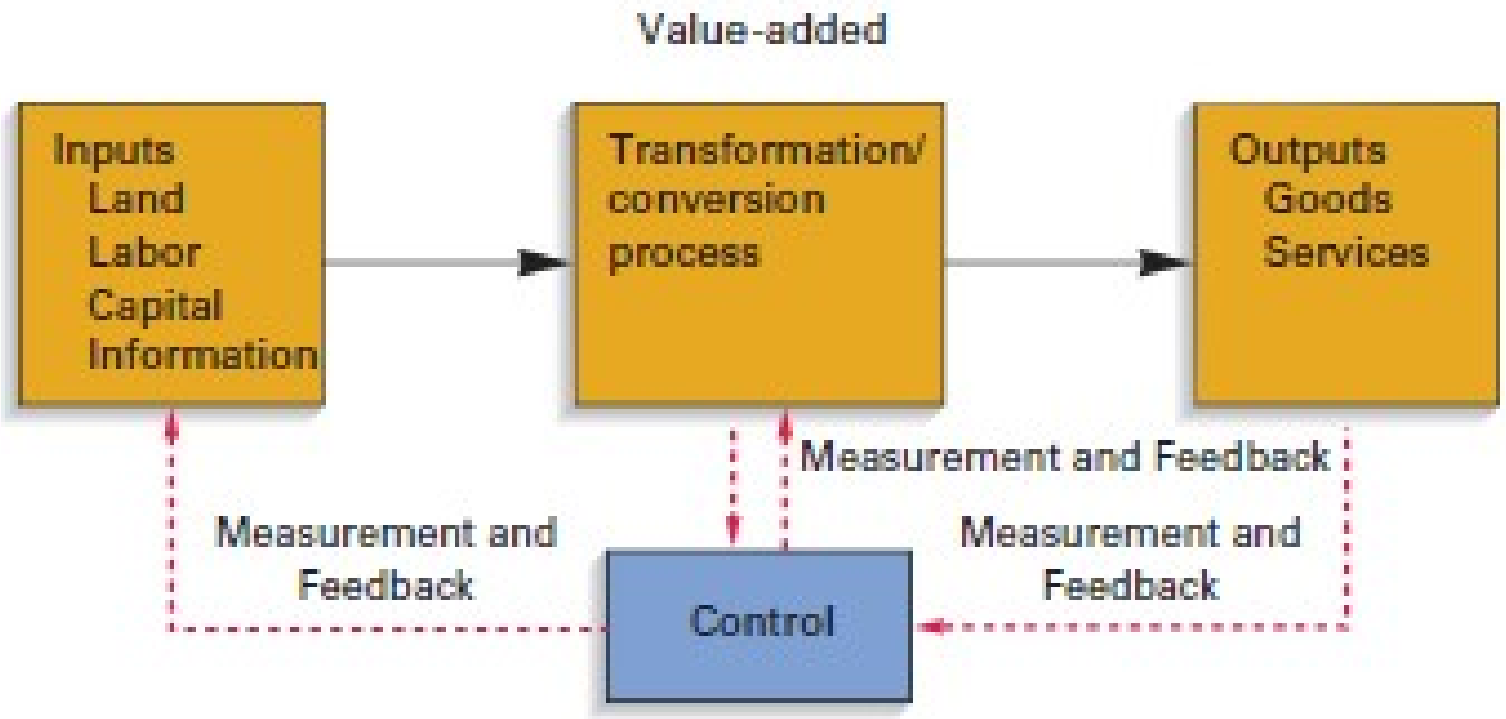
Supply Chain

Supply Chain – a sequence of activities and organizations involved in producing and delivering a good or service.

A supply chain for bread



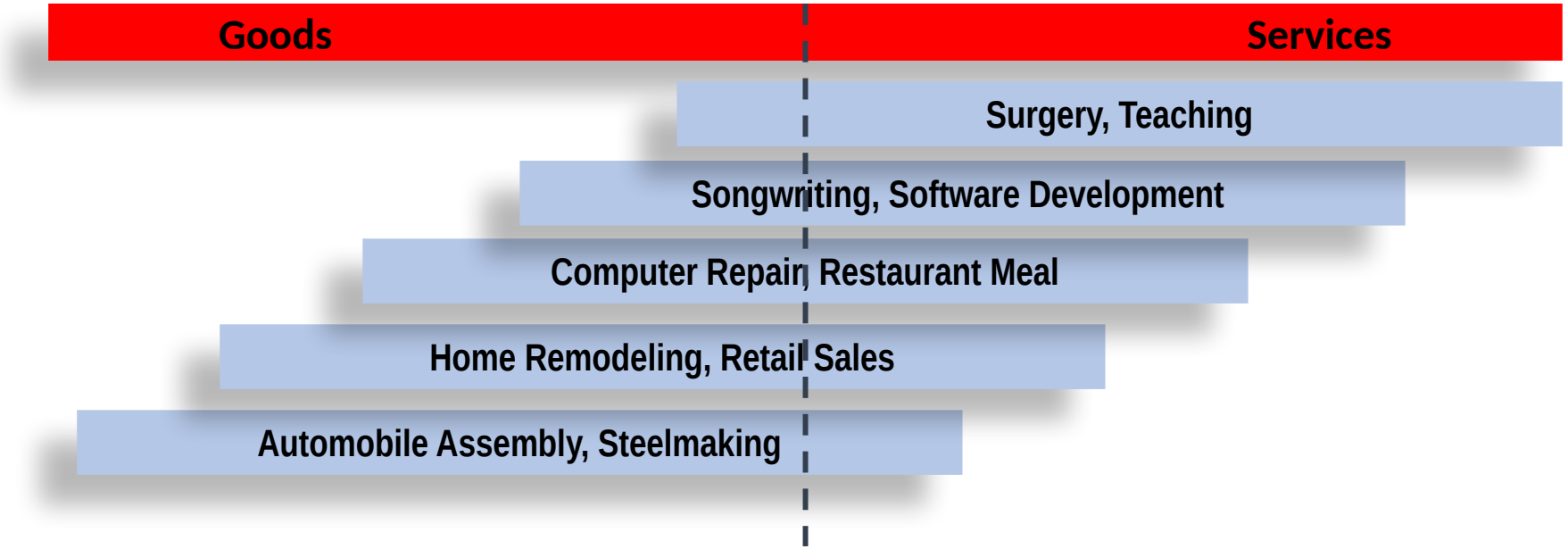
Conversion System of Supply Chain



Inputs	Transformation	Outputs
Land	Processes	High goods percentage
Human	Cutting, drilling	Houses
Physical labor	Transporting	Automobiles
Intellectual labor	Teaching	Clothing
Capital	Farming	Computers
Raw materials	Mixing	Machines
Water	Packing	Televisions
Metals	Copying, faxing	Food products
Wood	Analyzing	Textbooks
Equipment	Developing	CD players
Machines	Searching	High service percentage
Computers	Researching	Health care
Trucks	Repairing	Entertainment
Tools	Innovating	Car repair
Facilities	Debugging	Legal
Hospitals	Selling	Banking
Factories		Communication
Retail stores		
Energy		
Other		
Information		
Time		
Legal constraints		
Government regulations		

Goods-service Continuum

Products are typically neither purely service- or purely goods-based.



Differences Between Goods and Services

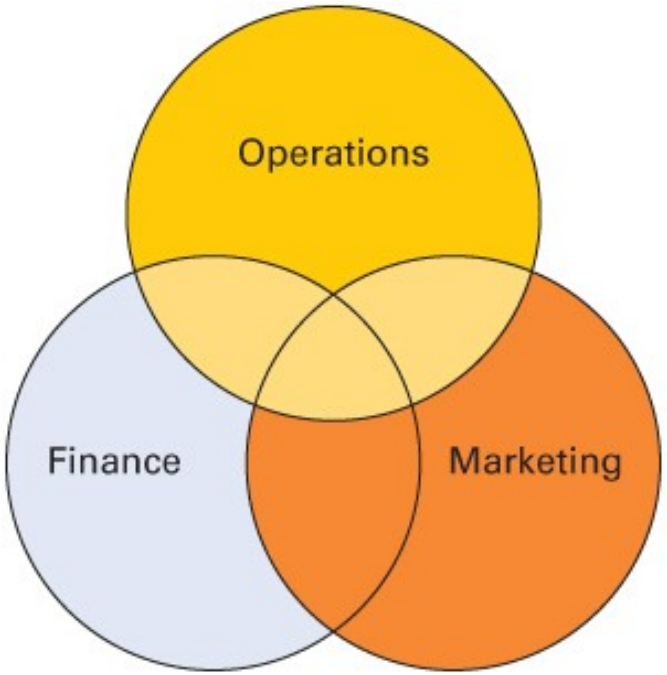
Characteristic	Goods	Services
Output	Tangible	Intangible
Customer contact	Low	High
Labor content	Low	High
Uniformity of Input	High	Low
Measurement of Productivity	Easy	Difficult
Opportunity to correct problems before delivery	High	Low
Inventory	Much	Little
Wages	Narrow range	Wide range
Patentable	Usually	Not usually

Why Study Operations Management?

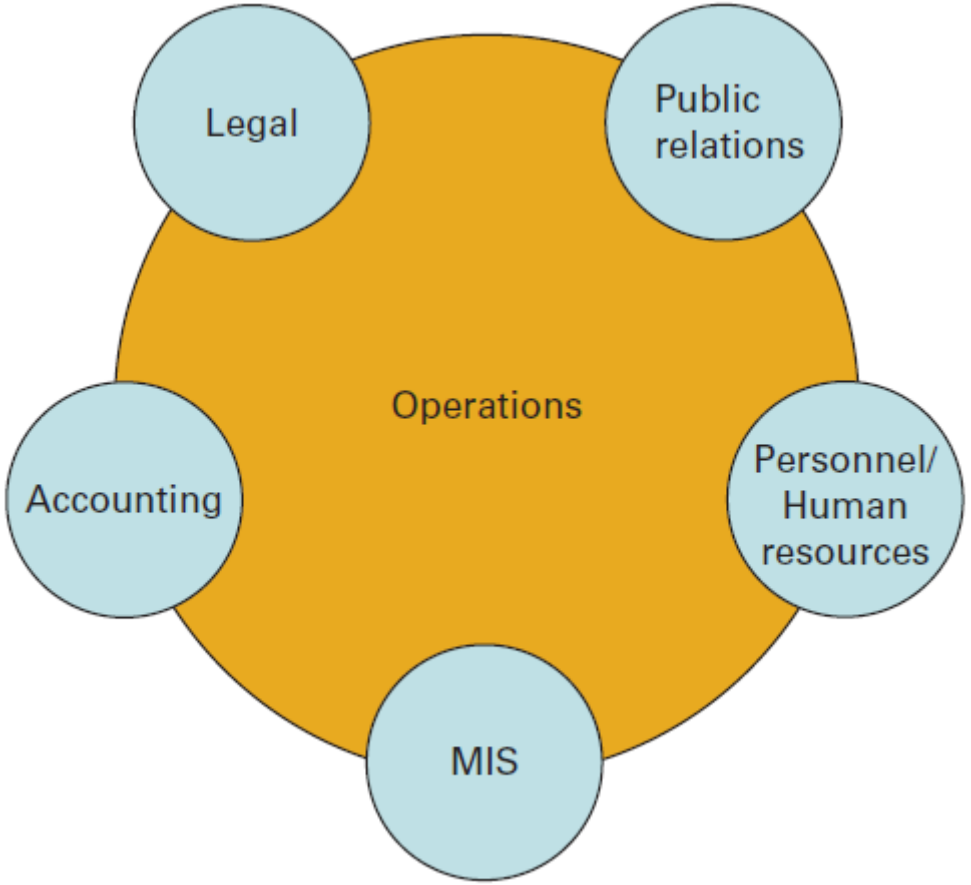
- Every aspect of business affects or is affected by operations
- Many service jobs are closely related to operations
  - Financial services
  - Marketing services
  - Accounting services
  - Information services
- Through learning about operations and supply chains you will have a better understanding of:
  - The world you live in
  - The global dependencies of companies and nations
  - Reasons that companies succeed or fail
  - The importance of working with others

Function Overlap

- Finance & Operations
  - Budgeting
  - Economic analysis of investment proposals
  - Provision of funds
- Marketing & Operations
  - Demand data
  - Product and service design
  - Competitor analysis
  - Lead time data



Supporting Functions



Thank You!